



CHAPTER 23.

An Act to provide for the suspension of the rebates from railway charges in respect of certain coal, coke and patent fuel traffics allowable under the Eleventh Schedule to the Local Government Act, 1929, for the payment to the Minister of Fuel and Power out of the fund established under that Schedule of amounts corresponding to the amounts of the suspended rebates, for consequential adjustments as to review of the rates of those rebates and of the rebates so allowable in respect of certain agricultural traffics and as to the disposal of certain balances in the said fund and certain credits and liabilities thereof; and for purposes connected with the matters aforesaid.

[10th June 1943.]

BE it enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

1. The coal rebates provided for by the scheme in force under the Eleventh Schedule to the Local Government Act, 1929, shall not be allowed in respect of traffics delivered for conveyance by railway at any time during the period (in this Act referred to as "the period of suspension of coal rebates") beginning on the first day of the month next following the month in which this Act is passed and terminating on such date as the Minister of War Transport (in this Act referred to as "the Minister") may appoint, or, if before the termination thereof as aforesaid there is no longer in force any order under Regulation 69 of the Defence (General) Regulations, 1939, for the control of railway undertakings, terminating on the last day on which any such order is in force.

Suspension
of coal rebates.
19 & 20 Geo. 5.
c. 17.

Payment to
the Minister of
Fuel and
Power of
amounts
corresponding
to amounts of
suspended
rebates.

2.—(1) The tribunal shall, as respects the year beginning on the first day of October, nineteen hundred and forty-two, as soon as may be after the passing of this Act, and, as respects each subsequent year beginning on a first day of October in the period of suspension of coal rebates, within the first three months of that year, estimate the amount which is under the provisions of sub-paragraph (1) of paragraph 1 of the Schedule to this Act to be taken as the amount for that year of the revenue of the fund which would have been available for coal rebates, and shall certify their estimate to the Minister.

(2) There shall be paid to the Minister of Fuel and Power out of the fund in respect of each of the years mentioned in the preceding subsection the amount certified by the tribunal thereunder in respect of that year;

Provided that—

(a) in the case of the year beginning on the first day of October, nineteen hundred and forty-two, the amount to be so paid shall be the amount certified in respect of that year less the amount (as estimated by the tribunal and certified to the Minister) of the coal rebates required by the scheme in respect of traffics delivered for conveyance by railway in that year before the beginning of the period of suspension of coal rebates; and

(b) in the case of the year in which that period terminates, an estimate shall be made and certified under subsection (1) of this section in like manner as in the case of a year falling wholly within that period, but the amount to be so paid shall be such part only of the amount certified in respect of that year as is proportionate to the part of that year elapsing before the termination of that period.

(3) The amounts to be paid to the Minister of Fuel and Power under this section shall be paid at such times and in such manner as the Treasury may direct, and shall be applied by the Minister of Fuel and Power in accordance with arrangements made by him and approved by the Treasury for any purpose connected with the production or marketing of coal.

Consequential
adjustments
as to reviews
of rebates.

3.—(1) For the purposes of each review under paragraph 10 of Part I of the said Eleventh Schedule taking place whilst this subsection remains in force, the following provision shall have effect in lieu of the proviso to sub-paragraph (1) of that paragraph, that is to say, that the tribunal shall not by any order made under that paragraph alter the rate for the time being in force of any agricultural rebates unless the tribunal is of opinion that, in the absence of the alterations, the aggregate of the agricultural rebates will, in the year in which the review takes place, exceed by more than the

fixed marginal allowance, or fall short by more than that allowance of, the amount for that year (as estimated by the tribunal in accordance with the provisions of sub-paragraph (2) of paragraph 1 of the Schedule to this Act) of the revenue of the fund available for agricultural rebates.

(2) Paragraph 11 of Part I of the said Eleventh Schedule shall have effect whilst this subsection remains in force with the substitution, for references therein to rebates, of references to agricultural rebates, and, for references therein to the net revenue of the fund for any year, of references to the amount for that year (as estimated by the tribunal in accordance with the provisions of sub-paragraph (2) of paragraph 1 of the Schedule to this Act) of the revenue of the fund available for agricultural rebates.

(3) If in consequence of the approaching termination of the period of suspension of coal rebates it appears to the Minister that the rates of the rebates ought to be reviewed in relation to the circumstances as they will be after the termination of that period, he may direct that subsections (1) and (2) of this section shall cease to have effect on a specified date, and those subsections shall cease to have effect on any date so specified or on the termination of the said period, whichever is the earlier.

(4) The fact that subsection (1) or (2) of this section has ceased to have effect shall not affect the validity of any rate fixed by the tribunal in accordance with the provisions thereof whilst it remained in force, or the continuance, subject to later review, of any rate so fixed.

(5) If in consequence of the termination or approaching termination of the period of suspension of coal rebates it appears to the Minister that a further review under paragraph 10 of Part I of the said Eleventh Schedule ought to take place in any year after the review in that year required by that paragraph has taken place, he may direct that such a further review shall take place, and the provisions of that paragraph shall have effect in relation to any such further review as they have effect in relation to a review taking place as thereby required.

4.—(1) In accordance with the provisions of the Schedule to this Act, the following items shall be excluded in making the estimates required by section two of this Act and in estimating, whilst subsections (1) and (2) of the last preceding section remain in force, the revenue of the fund available for agricultural rebates, that is to say—

Disposal of certain balances in the fund and certain credits and liabilities thereof.

- (a) the sum of nine hundred and twenty-five thousand, five hundred and forty-two pounds (being the balance standing to the credit of the fund as at the thirtieth day of September, nineteen hundred and forty-two, in this section referred to as "the accrued balance");

(b) any payment made after the said thirtieth day of September by way of adjustment under paragraph 2 of Part I of the said Eleventh Schedule, whether into the fund by the companies or to the companies out of the fund, in respect of any period before the first day of October, nineteen hundred and forty-two ; and

(c) any interest earned in respect of—

(i) the accrued balance, or

(ii) any such payment into the fund by way of adjustment as aforesaid,

or earned in respect of any such interest as aforesaid.

(2) At reviews taking place after subsections (1) and (2) of the last preceding section have ceased to have effect, the tribunal shall, notwithstanding anything in the said Eleventh Schedule, so fix the rebates as between different selected traffics as to secure that in the course of such number of years as the tribunal may determine the following sums shall, in the case of a sum representing a credit, be expended out of balances from time to time brought forward in the fund, or, in the case of a sum representing a debit, be made good, in such manner as to appropriate the effect of the expenditure or making good to rebates in respect of a particular group of selected traffics, or in respect of such traffics within that group as the Minister may direct, as follows, that is to say :—

(a) to rebates in respect of traffics contained in Part II of the said Eleventh Schedule (agricultural selected traffics), a sum equal to any credit or debit balance in the fund on agricultural account attributable to the period between the first day of October, nineteen hundred and forty-two, and the beginning of the year in which the period of suspension of coal rebates terminates (as defined in sub-paragraph (2) of paragraph 2 of the Schedule to this Act) ;

(b) to rebates in respect of traffics contained in Part III of the said Eleventh Schedule (coal, coke and patent fuel selected traffics), a sum equal to the aggregate of the accrued balance and any credit balance in the fund on coal account attributable to the period between those dates (as defined in sub-paragraph (1) of paragraph 2 of the Schedule to this Act), or equal to the difference between the accrued balance and any debit balance in the fund on coal account so attributable :

Provided that if the aggregate of any such payments out of the fund by way of adjustment as are mentioned in paragraph (b) of subsection (1) of this section exceeds by any amount the aggregate of any such payments into the fund by way of

adjustment as are therein mentioned and of any such interest as is mentioned in paragraph (c) of that subsection accruing during the period of suspension of coal rebates, the accrued balance shall be treated as reduced by that amount for the purposes of this subsection.

(3) In calculating the net revenue of the fund for any year for the purposes of reviews taking place after subsections (1) and (2) of the last preceding section have ceased to have effect, any such payment out of the fund by way of adjustment as is mentioned in paragraph (b) of subsection (1) of this section shall, notwithstanding anything in subsection (4) of section two of the Railway Freight Rebates Act, 1936, be debited in determining the balance brought forward in the fund.

1 Edw. 8. &
1 Geo. 6. c. 2.

5.—(1) Notwithstanding anything in paragraph 5 of Part I of the said Eleventh Schedule, the sum to be paid out of the fund under sub-paragraph (1) (a) of that paragraph in respect of administrative expenses in respect of any year falling wholly or partly within the period of suspension of coal rebates shall be such sum as the tribunal may allow on application in that behalf being made by the companies, and may, if the tribunal so determine, be less than a sum equal to the percentage mentioned in that sub-paragraph, and the balance of that sum to be paid to the companies shall be apportioned between them as may be agreed by them, or, in default of agreement, as the tribunal may determine.

Consequential
provisions.

(2) In making any comparison for the purposes of paragraph 10 or 11 of Part I of the said Eleventh Schedule between the appropriate proportion of the net revenue of the fund for the year in which the period of suspension of coal rebates terminates and the amount of any coal rebates, the amount to be paid to the Minister of Fuel and Power under section two of this Act in respect of that year shall be brought into account as if it had been an amount representing coal rebates.

(3) In the definition in paragraph 17 of Part I of the said Eleventh Schedule of "estimated rate relief" the reference to the estimate adopted by the tribunal for the purpose of calculating rebates shall be construed, in relation to any year falling wholly or partly within the period of suspension of coal rebates, as a reference to the estimate adopted by the tribunal for the purpose of giving effect to the provisions of the Schedule to this Act in relation to that year.

(4) The amendments made by the Railway Freight Rebates Act, 1936, of paragraph 6 of Part I, and of Parts II, III, and IV, of the said Eleventh Schedule shall continue in force until the termination of the period of suspension of coal rebates, and accordingly

in subsection (5) of section one of that Act a reference to the termination of that period shall be substituted for the reference to the thirty-first day of December, nineteen hundred and forty-three.

Short title,
construction
and citation.

6.—(1) This Act may be cited as the Railway Freight Rebates Act, 1943.

(2) In this Act the expressions “agricultural rebates” and “coal rebates” mean respectively rebates in respect of the groups of selected traffics in Parts II and III of the said Eleventh Schedule.

(3) This Act, section one hundred and thirty-six of the Local Government Act, 1929, the said Eleventh Schedule and the Railway Freight Rebates Act, 1936, shall be construed as one; and this Act and those enactments may be cited together as the Railway Freight Rebates Enactments, 1929 to 1943.

SCHEDULE.

PROVISIONS AS TO ESTIMATING REVENUE, AND DEFINITION OF BALANCES ACCRUING ON COAL ACCOUNT AND ON AGRICULTURAL ACCOUNT.

1.—(1) For the purposes of section two of this Act, the amount for any year (in this paragraph referred to as "the relevant year") of the revenue of the fund which would have been available for coal rebates shall be taken to be the amount ascertained by deducting from the aggregate of—

- (a) four-fifths of the instalments payable by the companies into the fund under paragraph 2 of Part I of the said Eleventh Schedule in respect of the relevant year,
- (b) four-fifths of any payments by the companies by way of adjustment under the said paragraph 2 in respect of any period beginning on or after the first day of October, nineteen hundred and forty-two, paid or to be paid into the fund in the relevant year,
- (c) four-fifths of any interest accruing during the relevant year on investments of moneys of the fund, other than any such interest as is mentioned in paragraph (c) of subsection (1) of section four of this Act, and
- (d) any credit balance in the fund on coal account attributable to the period between the said first day of October and the beginning of the relevant year,

the aggregate of—

- (i) the administrative charge appropriate to coal account (that is to say, such proportion as the tribunal may determine of the sums payable under sub-paragraph (1) (a) of paragraph 5 of Part I of the said Eleventh Schedule, and under subsection (3) of section two of the Railway Freight Rebates Act, 1936) in respect of the relevant year,
- (ii) four-fifths of any payments to the companies by way of adjustment under paragraph 2 of Part I of the said Eleventh Schedule in respect of any period beginning on or after the said first day of October, paid or to be paid out of the fund in the relevant year,
- (iii) four-fifths of any interest accruing during the relevant year on sums borrowed by the Railway Clearing House in accordance with the provisions of the said Eleventh Schedule,
- (iv) four-fifths of the sums required to be paid in the relevant year in repayment of the principal of the moneys borrowed under section two of the Railway Freight Rebates Act, 1936, (including any sums required for the redemption or cancellation of stock issued under that section), and four-fifths of

the interest accruing during the relevant year on those moneys or on stock so issued, and

- (v) any debit balance in the fund on coal account attributable to the period between the said first day of October and the beginning of the relevant year.

(2) For the purposes of subsections (1) and (2) of section three of this Act, the amount for any year of the revenue of the fund available for agricultural rebates shall be taken to be an amount ascertained in like manner as is provided by sub-paragraph (1) of this paragraph in relation to the amount for that year of the revenue of the fund which would have been available for coal rebates, with the substitution for references therein to four-fifths of references to one-fifth, and for references therein to coal account of references to agricultural account.

2.—(1) References in this Act to any credit or debit balance in the fund on coal account attributable to the period between the said first day of October and the beginning of any year shall be construed as references to any amount by which the aggregate of—

- (a) four-fifths of such instalments, payments and interest as are mentioned respectively in heads (a) (b) and (c) of sub-paragraph (1) of paragraph 1 of this Schedule, being instalments payable in respect of, payments by way of adjustment paid into the fund in, or interest accruing during, any year or years or other period or periods elapsing after the thirtieth day of September, nineteen hundred and forty-two, and before the beginning of the year in question, and
- (b) the sum which, in arriving at the balance standing to the credit of the fund as at the thirtieth day of September, nineteen hundred and forty-two, was deemed to represent the amount of the coal rebates required by the scheme in respect of traffics delivered for conveyance by railway on or before that day so far as not included in the rebates in respect of which sums had been paid to the companies out of the fund under sub-paragraph (1) (c) of paragraph 5 of Part I of the said Eleventh Schedule on or before that day,

exceeds or falls short, as the case may be, of the aggregate of—

- (i) the sums paid to the companies out of the fund under the said sub-paragraph (1) (c) in respect of coal rebates at any time after the said thirtieth day of September and before the beginning of the year in question, and
- (ii) the sums payable to the Minister of Fuel and Power under section two of this Act in respect of any period or periods elapsing as aforesaid,

together with the administrative charges appropriate to coal account and four-fifths of such payments, interest and sums, as are mentioned respectively in heads (ii) (iii) and (iv) of sub-paragraph (1) of paragraph 1 of this Schedule, being charges in respect of, payments by way of adjustment paid out of the fund in, interest accruing during, or sums required to be paid in, any year or years or other period or periods elapsing as aforesaid.

(2) References in this Act to any credit or debit balance in the fund on agricultural account attributable to the period between the said first day of October and the beginning of any year shall be construed as references to any amount by which the aggregate of—

(a) one-fifth of such instalments, payments and interest as are mentioned respectively in heads (a) (b) and (c) of sub-paragraph (1) of paragraph 1 of this Schedule, being instalments payable in respect of, payments by way of adjustment paid into the fund in, or interest accruing during, any year or years or other period or periods elapsing after the thirtieth day of September, nineteen hundred and forty-two, and before the beginning of the year in question, and

(b) the sum which, in arriving at the balance standing to the credit of the fund as at the thirtieth day of September, nineteen hundred and forty-two, was deemed to represent the amount of the agricultural rebates required by the scheme in respect of traffics delivered for conveyance by railway on or before that day so far as not included in the rebates in respect of which sums had been paid to the companies out of the fund under sub-paragraph (1) (c) of paragraph 5 of Part I of the said Eleventh Schedule on or before that day,

exceeds or falls short, as the case may be, of the aggregate of—

(i) the sums paid to the companies out of the fund under the said sub-paragraph (1) (c) in respect of agricultural rebates at any time after the said thirtieth day of September and before the beginning of the year in question, and

(ii) the amount (as estimated by the tribunal) of the agricultural rebates required by the scheme in respect of traffics delivered for conveyance by railway at any such time as aforesaid so far as not included in the rebates in respect of which sums have been paid to the companies as aforesaid,

together with the administrative charges appropriate to agricultural account and one-fifth of such payments, interest and sums, as are mentioned respectively in heads (ii) (iii) and (iv) of sub-paragraph (1) of paragraph 1 of this Schedule, being charges in respect of, payments by way of adjustment paid out of the fund in, interest accruing during, or sums required to be paid in, any year or years or other period or periods elapsing as aforesaid.